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就像過去一年，不管 Nvidia 財務數字多美好，短期股價也不見激情，我們覺得美光將步入 Nvidia 後塵

ANDREW LU ON GLOBAL SEMI/TECHS

SEP 30 • PAID



Executive summary

For a near term, we see the strong data center AI GPU/TPU/ASIC/CPU capex and deployment to support HBM, DDR5, NAND flash demand. However, starting 4Q26 and beyond, we have started to see the pricing hike was/is decelerating and gross margin is topping but capex growth is accelerating. Despite months of inventory MOI and capital density are still at a healthy level, we believe Micron is turning itself from gross margin expansion to capacity expansion mode. Like Nvidia in the past 12 months, no matter how good the financial numbers are ahead of analysts' estimates, Micron might continue to beat the market on numbers but rest (consolidate up/down) on share price performance in line with the change of Sox index.

短期來看，數據算力中心領域對AI GPU、TPU、ASIC及CPU的強勁資本支出與部署，仍有力地支撐著HBM、DDR5及NAND快閃記憶體的需求。然而，展望2026年第四季及以後，我們觀察到價格上漲勢頭正在放緩，毛利率已觸及峰值，而資本支出增速卻在加快。儘管庫存水位（以季度庫存量/MOI衡量）及資本密度指標（資本開支除以營收）依然健康，但我們認為美光（Micron）正從「毛利率擴張」模式轉向「產能擴張」模式。正如過去12個月的英偉達（Nvidia）那樣，即便美光的財務業績持續超出分析師預期，其股價表現也可能出現盤整（或隨SOX指數波動），不再單純因業績超預期而大幅上漲。



Key highlights

- **Pricing hike continues but was/is decelerating:** Micron reports 3Q26 sales of US\$54.23bn, up 31% qoq and 379% yoy, which was 7% above Bloomberg consensus estimates of 24% qoq. Micron guides 4Q26 sales of US\$60-63bn, up 11%-16% qoq (13% qoq as mid point) and 351% yoy, which is 9% above Bloomberg consensus estimates. *We believe the 3Q26 sales beat was largely driven by stronger than expected NAND price hike of 30% qoq (20% qoq by Bloomberg estimates) and 394% yoy and also 10% bit output qoq growth for NAND (5% qoq by Bloomberg estimates);*

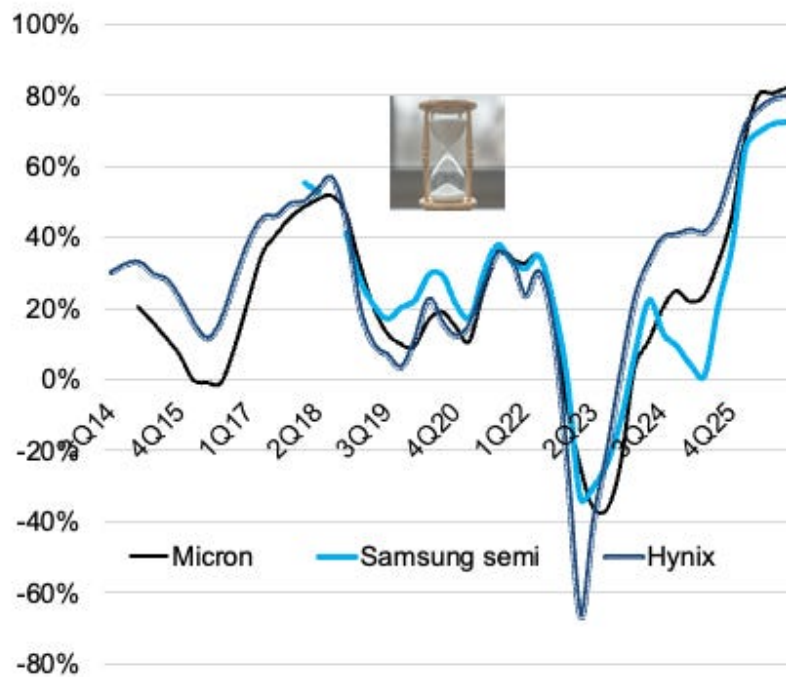
Metric	Actuals	Consensus
Analyst		
Analyst Recommendation		
Model Download		
Table Data Date	09/30/2026	09/29/2026
Highlights		
Adjusted Diluted EPS	33.42	31.83 36 4.98%
Revenue	54,229.00	51,492.31 39 5.31%
▼ Segment Revenue		
DRAM	39,771.00	38,221.69 28 4.05%
NAND	14,102.00	12,291.95 28 14.73%
Other	356.00	157.94 25 125.40%
Adjusted Gross Margin (%)	87.00	86.22 32 0.90%
▼ Adjusted R&D Expense	1,773.00	1,314.27 20 34.90%
As % of Revenue		2.59 14
▼ Adjusted Operating Income	44,636.00	42,754.63 35 4.40%
Adjusted Operating Margin (%)		82.80 28
Adjusted Net Income Margin (%)		71.20 18
▼ Capital Expenditures	-10,770.00	-10,001.15 20 -7.69%
As % of Revenue		18.55 8
▼ Free Cash Flow	33,199.00	23,526.37 16 41.11%
As % of Revenue		48.75 5
Adjusted Free Cash Flow	33,199.00	24,587.78 8 35.02%

Source: Bloomberg estimates

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- **Cyclical gross margin expansion seems topping at 85-87%:** Despite DRAM bit price hike of 17-19% qoq and NAND bit

price hike of 30% qoq, Micron reports 3Q26 gross margin of 86.8%, up only 2ppts from 2Q26's 84.6% but guides 4Q26 gross margin contraction to 85.95%, which is lower than Bloomberg's 86.7% estimates. 3Q26 operating of 80.7% and 4Q26 operating guidance of 82% are all slightly lower than Bloomberg estimates of 82-83%. Despite a price hike of 20-25% qoq for 3Q26 and likely another 5-10% qoq for 4Q26, we attributed a limited gross margin expansion for Micron to lower cost inventory is gone but higher cost of compensation new products shipment and new production are kicking in.



Source: The companies, Andrew Lu on global semis/techs

Millions of USD Months Ending	2026 Q3 05/28/2026	2026 Q4 09/03/2026	2027 Q1 Est 12/03/2026	2027 Q2 Est 03/04/2027	2027 Q3 Est 06/03/2027	2027 Q4 Est 09/02/2027	2028 Q1 Est 12/02/2027	2028 Q2 Est 03/02/2028
Income Statement (Adjusted)								
Total Revenue	41,456.00	54,229.00	56,772.90 39	62,104.21 39	66,443.49 39	70,608.44 36	72,839.11 27	73,160.26 23
Cost of Revenue	6,257.00	7,025.00	7,581.84 27	8,025.66 27	8,664.43 27	9,263.28 27	10,322.17 20	10,965.10 17
Gross Profit	35,199.00	47,204.00	50,652.62 29	54,316.78 29	58,264.04 29	61,205.25 29	62,128.63 21	61,027.46 18
Gross Margin (%)	84.90	87.00	86.73 31	86.88 30	86.75 31	86.48 30	86.25 21	85.37 19
Total Operating Expenses	1,518.00	2,568.00	1,828.62 24	1,895.54 24	1,972.90 24	2,139.70 24	2,436.72 17	2,347.37 15
Research & Development	1,186.00	1,773.00	1,449.20 21	1,493.56 21	1,545.39 21	1,713.21 21	1,860.61 17	1,730.89 14
As % of Revenue	2.86		2.56 15	2.47 15	2.39 15	2.56 15	2.71 13	2.50 10
Selling, General & Administrative	338.00	792.00	400.31 18	421.90 18	438.16 18	491.71 18	535.62 14	598.38 11
As % of Revenue	0.82		0.73 14	0.72 14	0.71 14	0.75 14	0.78 13	0.88 10
Operating Income	33,681.00	44,636.00	48,559.50 36	52,053.00 35	55,634.00 35	59,146.78 32	61,106.55 22	60,536.21 19
Operating Margin (%)	81.25		83.45 28	83.68 28	83.66 28	83.36 28	82.29 20	81.03 17
Depreciation & Amortization	2,364.00	2,641.00	2,940.98 24	3,203.88 24	3,444.44 24	3,706.61 24	4,084.84 19	4,571.97 16
EBITDA	36,045.00	47,277.00	51,090.26 19	55,751.68 19	59,897.16 19	64,423.13 16	65,924.36 14	65,800.42 12
Pre-Tax Income	33,212.00	44,238.00	48,757.35 31	52,417.87 31	56,097.65 31	59,357.37 30	60,797.62 21	59,800.17 18
Income Tax Expense	5,053.00	6,781.00	7,594.18 25	8,170.22 25	8,748.20 25	9,262.18 25	9,313.39 18	9,138.89 16
Effective Tax Rate (%)	15.00		15.38 25	15.38 25	15.37 25	15.38 25	15.52 17	15.59 15
Equity in Net Income (Loss) of ...	-9.00	-46.00	-4.37 17	-4.32 17	-4.46 17	-4.54 16	-5.49 9	-5.18 7
Net Income	28,857.00	38,398.00	41,145.91 33	44,444.76 33	47,607.33 33	50,709.68 31	51,604.70 23	50,636.95 20
Net Margin (%)	69.61		71.11 18	71.38 18	71.28 18	71.09 18	70.57 15	69.09 13
Diluted Weighted Avg. Shares	1,149.00	1,149.00	1,143.41 27	1,139.86 27	1,136.18 27	1,132.43 27	1,130.14 19	1,121.97 15
Diluted EPS	25.11	33.42	36.02 38	38.94 38	41.81 38	44.39 35	46.73 23	46.27 20

Source: Bloomberg estimates

- **Data center HBM and NAND (KV cache offload) customers were the key driver:** Despite 3Q26 core data center business unit sales only accounted for 33% of sales (28% of sales in 2Q26), the business sales increased 56% qoq in 3Q26 to US\$18bn, which was 59% above Bloomberg estimates. By combining cloud memory business and core data center business, Micron reports total data center sales of US\$34.29bn, up 36% qoq and 460% yoy by accounting global data center semiconductor sales of 12.6%, up 1ppts from 2Q26's 11.7% and up 6ppts from 3Q25's 6.6%;

Quarterly Business Unit Financial Results

	FQ4-26	FQ3-26	FQ4-25
Cloud Memory Business Unit			
Revenue	\$ 16,283	\$13,769	\$4,543
Gross margin	83%	83%	59%
Operating margin	76%	78%	48%
Core Data Center Business Unit			
Revenue	\$18,002	\$ 11,524	\$ 1,577
Gross margin	90%	87%	41%
Operating margin	85%	83%	25%
Mobile and Client Business Unit			
Revenue	\$ 13,114	\$ 11,521	\$3,760
Gross margin	90%	87%	36%
Operating margin	88%	86%	29%
Automotive and Embedded Business Unit			
Revenue	\$ 6,824	\$ 4,634	\$1,434
Gross margin	84%	79%	31%
Operating margin	79%	75%	20%

Source: Micron

- **Healthy months of inventory:** Micron reports 4.33 months of inventory, up 8% and 8% yoy;
- **Healthy capital density:** Micron raised 3Q26 capex 42% qoq and 96% yoy to US\$11.1bn to drive up the capital density to 16% in 3Q26 from 2Q26's 13% but still much lower than 3Q25's 30%. This suggests the company's capex boost still remaining at a healthy level;
- **Expanding Strategic Customer Agreements SCA:** In addition, Micron signed 26 strategic customer agreements

(raised from 16 in 2Q26) covering 35% of sales throughout 2030 (vs. 20% of DRAM and 33% of NAND volume in 2Q26), with floor prices ensuring robust gross margins;

- **Risks for us to monitor:** Till now, we believe Micron and other major memory vendors are managing capex, supply, and inventory well below demand extremely well. However, we will be watching closely on how much inventories had been piled up at the module makers and customers due to concerning pricing hike. In addition, Micron and other memory makers have been pushing its DRAM/NAND price to a painful level for customers and pushing its gross margin at historical high level of 87% for 3Q26. We thus see limited upside on ASP to boost sales and limited upside on gross margin to boost EPS for the next few quarters. In addition, by raising capex to boost bit growth and sales growth might result in depreciation cost increase to affect the gross margin improvement.

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